GOVECS

ELECTRIFY YOUR STYLE

Market entry for a European EV company

Case Study By IIM Rohtak

Seizing the Opportunity

Welcome to a strategic unveiling of GOVECS AG's foray into India's electric two-wheeler market.

Founded in 2009, GOVECS has evolved into a juggernaut, achieving a remarkable market share of 15% in the European EV landscape.

In 2020, the Indian electric two-wheeler market was valued at USD 64.5 million.

By 2027, propelled by a CAGR of 27.6%, the market is poised to soar to a staggering USD 360.3 million.

Captivatingly, this translates to an approximate growth of USD 54.5 million per year, underlining the dynamic potential of the market.

Our strategic product strategy aims at securing a 5% market share in the first year, which equates to a target revenue of USD 18 million.

As we chart this new trajectory, GOVECS is poised to etch its name as a key player in India's electric mobility narrative.

Market Opportunity Unveiled

Uncover the horizon of opportunity in the Indian electric two-wheeler market.

Witness the transformation: From a worth of USD 64.5 million in 2020 to an anticipated USD 360.3 million by 2027, showcasing a remarkable CAGR of 27.6% during 2021-2027.

Beneath this impressive growth lies a synergy of factors – a collective demand for cleaner mobility, stringent emission regulations, government incentives, and heightened eco-awareness.

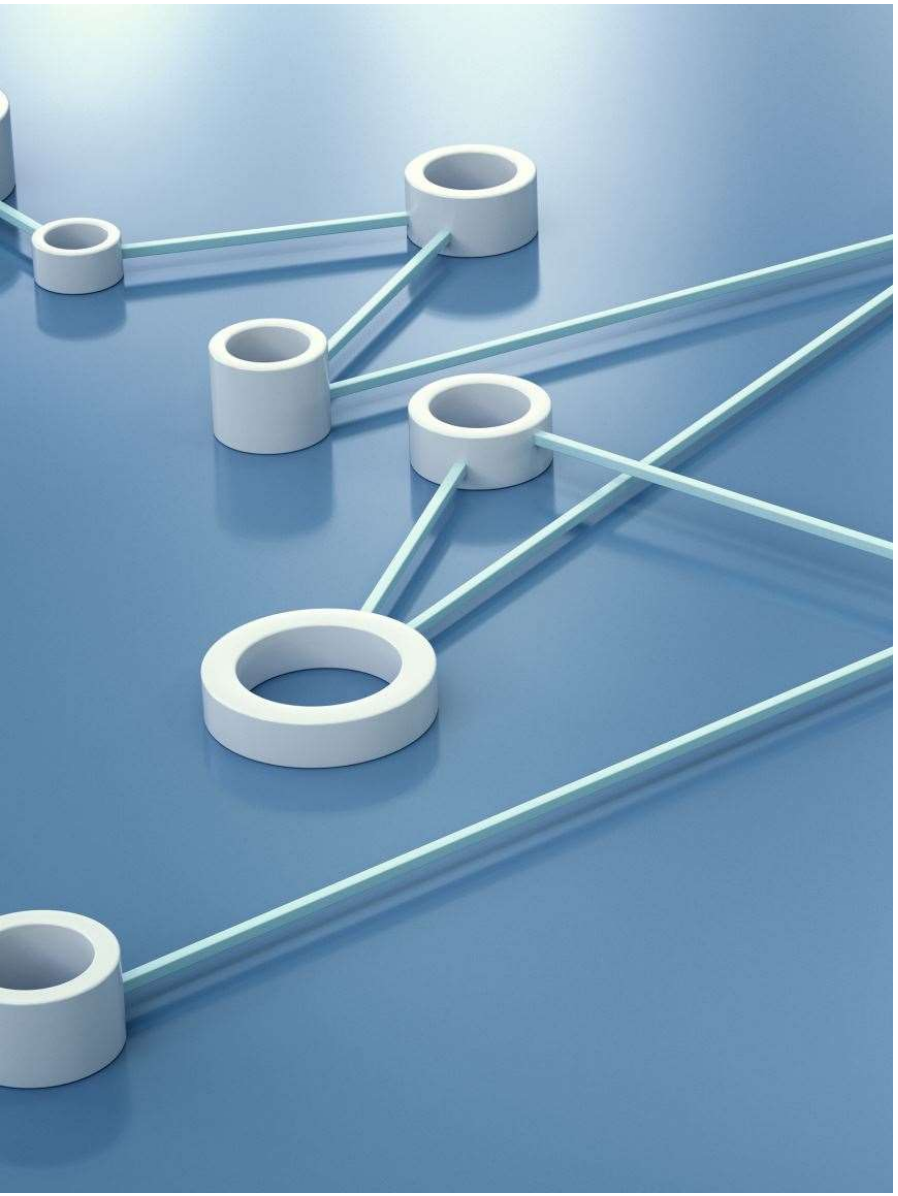
Our strategic entry positions GOVECS to tap into this dynamic market and seize the unfolding prospects, driving innovation and sustainability forward.

Revolutionizing Mobility for India

- Pioneering sustainability and performance with our innovative electric two-wheeler, custom-crafted for India.
- Unleash Power: Achieving 0-60 km/h in just 4.5 seconds, while ensuring a range of 150 km on a single charge.
- Impactful Carbon Reduction: Our electric two-wheeler reduces CO_2 emissions by approximately 85% compared to conventional petrol-powered counterparts.
- **Calculations:**

a) With an average daily commute of 30 km, our electric two-wheeler requires charging only twice a week.

b) This amounts to a yearly reduction of over 2 metric tons of CO_2 per vehicle, contributing to a greener environment.



Enabling Connectivity, Amplifying Reach

- Navigating success through a strategic distribution plan and impactful marketing approach.
- **Distribution Strategy**:

a) Dealerships in key cities = Targeting 50 dealerships in the first year.

b) Online Platforms: Collaborating with leading e-commerce platforms to reach a nationwide audience.

c) Localized Distribution Hubs: Setting up 10 distribution centers for efficient regional coverage.

- **Marketing Approach**:

a) Digital Engagement: 15% of the budget is allocated to targeted online campaigns.

b) Influencer Collaborations: Partnering with top EV influencers to reach an estimated 2 million viewers.

c) Traditional Advertising: 30-second TV spots scheduled on prime-time slots for maximum visibility.

By synergizing these strategies, we're projected to reach an estimated 100,000 potential customers in the first year alone.

Financial Projections and Conclusion

- Navigating the financial landscape and envisioning success.
- **Financial Projections**:

a) Manufacturing Investment: USD 3 million for setting up production facilities.

b) Marketing Budget: USD 2.5 million for a comprehensive nationwide campaign.

c) Distribution Costs: USD 1.2 million, including dealership setup and localized hubs.

d) Projected Revenue: Anticipating USD 25 million in the first year, driven by market growth and a projected 5% market share.

e) Profit Margin: Aim for a 15% profit margin, yielding a net profit of USD 3.75 million in the first year.

- Capitalizing on India's thriving electric two-wheeler market, we are poised to achieve both sustainable impact and financial success.

THANK YOU!

Submitted By-

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Team Indian